AR 2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

Symbotic

NASDAQ : SYM · Mature-Company DCF

$24.66B mkt cap · 591M sh · $1.2B cash, zero debt · $2.247B revenue FY25 (+26%) but GM only 18.8% (systems/construction-like); ~$22.5B backlog; SBC $184M > adj-EBITDA $147M → ex-SBC owner-FCF ~0 (the $867M OCF is customer-funded billings, not owner cash); Walmart >84% of revenue (extreme concentration); GreenBox JV; Nov'24 restatement; ~591M Up-C units, net cash $1.2B

22 October 2026 · the qualitative

$41.73

THE CENTRAL QUESTION

Is a 19%-gross-margin systems integrator priced at ~11x sales worth that multiple on owner cash flow, or only with a software-margin transformation?

Symbotic sells AI-powered warehouse-automation systems, installed and Walmart-anchored (>84% of FY25 revenue). Revenue is $2.25B (+26%), backlog ~$22.5B, net cash ~$1.2B, and Q2 FY26 turned GAAP-positive. But the $867M operating cash flow is customer-funded milestone billings (working capital), not owner cash; SBC of $184M exceeds the $147M adj-EBITDA, so ex-SBC owner FCF is roughly zero. At $41.73 (~591M Up-C units) the market pays a software multiple for a thin-margin integrator. The DCF asks whether margins inflect; weighted fair value $13.32, −68% to spot.

PROBABILITY-WEIGHTED EXPECTED VALUE

most likely case (base) -73.4% · 91% at or below spot

$13.32 expected fair value today

-68.1% vs spot $41.73

FORWARD COMPOUNDED VALUE

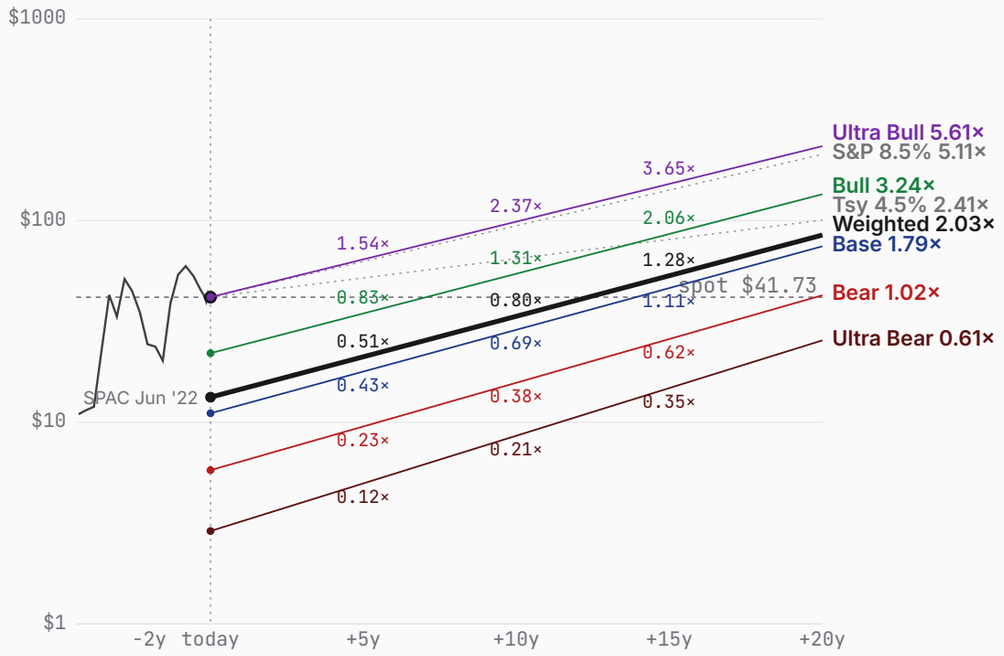
+5y	+10y	+15y	+20y
$21.14	$33.58	$53.36	$84.87
0.51× spot	0.80× spot	1.28× spot	2.03× spot

WEIGHTING RATIONALE

Ultra Bear 13% Margin never inflects; Walmart bites.
Bear 27% Backlog converts slowly; high-teens margin persists.
Base 33% Backlog converts; ~10% owner-FCF margin; GreenBox helps.
Bull 18% Margins inflect toward 15%, recurring WaaS mix grows; $22.02.
Ultra Bull 9% Software-like margins; gross margin toward 30%+.

Bull (18%) + Ultra Bull (9%) together contribute $7.72 — 58% of the $13.32 expected value despite 27% combined probability. Today's spot ($41.73) sits 213% above the weighted expected; the forward-weighted value reaches spot in about 12 years.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	BEAR	BASE	BULL	ULTRA BULL
$2.89	$5.79	$11.09	$22.02	$41.78
-93.1% vs spot	-86.1% vs spot	-73.4% vs spot	-47.2% vs spot	+0.1% vs spot
CAGR +5.4% WACC 11.5% CAGR +5.4% Prob 13%	CAGR +10.2% WACC 10.5% CAGR +10.2% Prob 27%	CAGR +14.5% WACC 10.0% CAGR +14.5% Prob 33%	CAGR +18.7% WACC 9.5% CAGR +18.7% Prob 18%	CAGR +22.6% WACC 9.0% CAGR +22.6% Prob 9%
Margin never inflects; Walmart bites	Backlog converts slowly; thin margins	Backlog converts; margins improve	Margins inflect; GreenBox recurs	Platform; software-like margins

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Symbotic scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 13% Bear 27% Base 33% Bull 18% Ultra Bull 9% · Weighted expected $13.32 (-68.1% vs spot)

ULTRA BEAR $2.89

-93.1% vs spot

Probability 13%

Margin never inflects; Walmart bites

WHY 13%

Requires Walmart to throttle deployments and margins to stay systems-like. Backed by the restatement history and the structural 19% gross margin, but the $22.5B backlog makes a near-flat path a tail outcome.

WHAT HAPPENS

Revenue grows only ~5% to FY30 as Walmart slows new-system orders and renegotiates terms. The 19% gross margin holds or compresses under construction-like execution risk, and SBC keeps owner FCF near zero through the period.

GreenBox stalls, recurring mix never materializes, and the business stays a low-return integrator dependent on one buyer. At a thin terminal FCF margin the equity is worth $2.89 per share, ~93% below spot.

BEAR $5.79

-86.1% vs spot

Probability 27%

Backlog converts slowly; thin margins

WHY 27%

The path if execution is fine but the economics never improve. The labor-automation tailwind and visible backlog support double-digit growth; the thin margin and concentration cap the value.

WHAT HAPPENS

Revenue compounds ~10% as backlog converts on a slow cadence, but gross margin stays in the high teens and only modest operating leverage appears. SBC continues to absorb most of the gain, so owner FCF inches up but stays thin.

Walmart remains the overwhelming customer and GreenBox adds little recurring economics within the window. A slow-converting, low-margin integrator discounts to $5.79 per share, ~86% below spot.

BASE $11.09

-73.4% vs spot

Probability 33%

Backlog converts; margins improve

WHY 33%

The modal case: backlog converts, the labor tailwind holds, GreenBox helps at the margin. It carries the most weight because the contracted backlog makes mid-teens growth the central expectation.

WHAT HAPPENS

Revenue compounds ~14.5% as the $22.5B backlog converts on schedule and modest scale lifts the owner-FCF margin toward 10% by FY30. GreenBox begins contributing recurring warehouse-as-a-service revenue alongside the systems business.

This is solid operational execution, but a ~19%-gross-margin systems business compounding in the mid-teens is worth far less than ~11x sales on owner cash flow. The DCF settles at $11.09 per share, ~73% below spot.

BULL $22.02

-47.2% vs spot

Probability 18%

Margins inflect; GreenBox recurs

WHY 18%

Requires margins to begin the transformation, not just revenue to grow. Plausible given backlog visibility and rising recurring mix, but it asks the integrator economics to start behaving like a platform.

WHAT HAPPENS

Revenue compounds ~18.7% and the owner-FCF margin climbs toward 15% as systems standardize, software content rises, and GreenBox shifts the mix toward recurring WaaS economics. Operating leverage finally outruns SBC.

The labor-automation demand is structural and the backlog funds the ramp, so a genuine margin inflection becomes visible. At a richer terminal margin the equity is worth $22.02 per share, still ~47% below spot.

ULTRA BULL $41.78

+0.1% vs spot

Probability 9%

Platform; software-like margins

WHY 9%

The lowest-weight tail because it requires gross margin to roughly double from a systems base. The structural tailwind and backlog make platform scale conceivable, but software-like margins are unproven here.

WHAT HAPPENS

Revenue compounds ~22.6% and gross margin expands from ~19% toward 30%+ as Symbotic becomes the standard warehouse-automation platform, with high-margin software and recurring GreenBox WaaS dominating the mix. The owner-FCF margin reaches ~20%.

This is a full economic transformation, not just scale: the systems integrator turns into a software-economics platform. Only this outcome nears the price, reaching $41.78 per share, at spot.

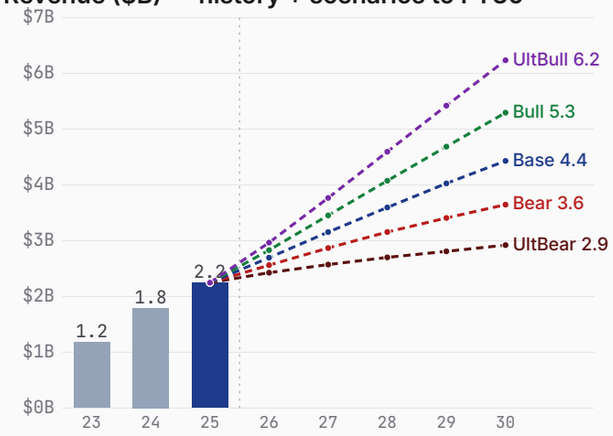
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Symbotic business snapshot

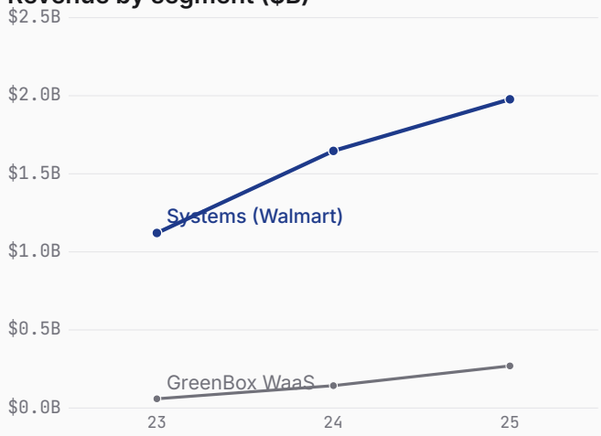
Bear $5.79 Base $11.09 Bull $22.02

FY23-FY25 history + FY26-FY30 scenario projections · fiscal years end late Sept · FY2025 + Q2 FY2026 results

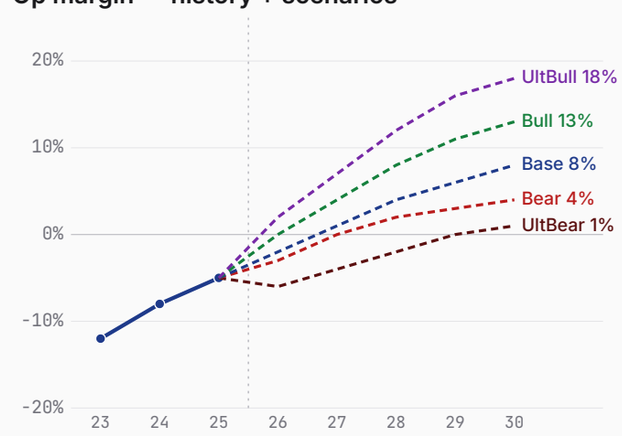
Revenue ($B) — history + scenarios to FY30



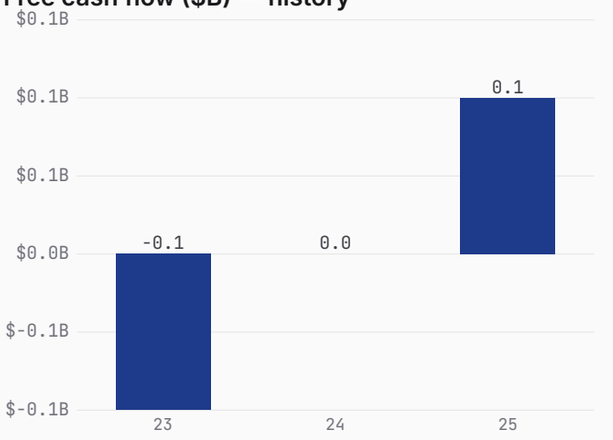
Revenue by segment ($B)



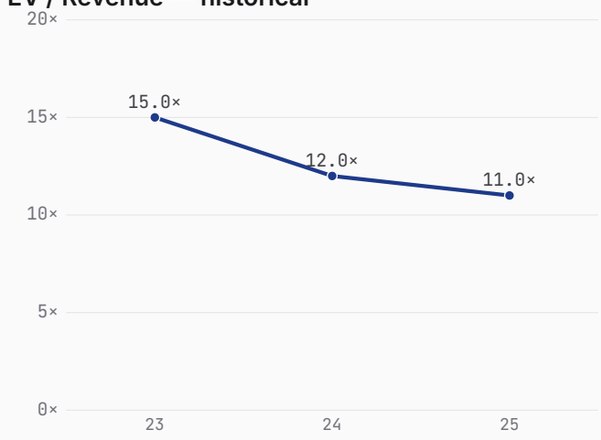
Op margin — history + scenarios



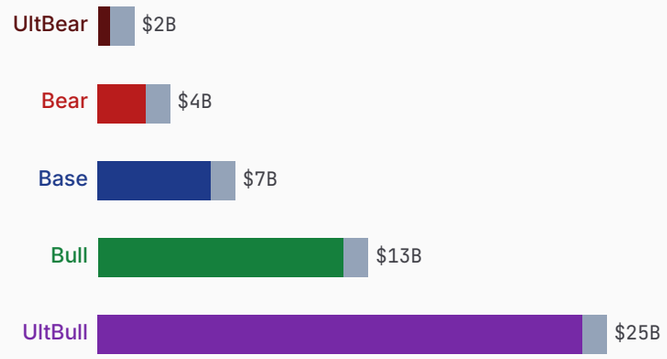
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Op EV · cash · special assets

Sources: Symbotic FY2025 (ended 9/27/25) + Q2 FY2026 results (CIK 1837240). Revenue as a growth-rate path off FY25; FCF = revenue x an SBC-adjusted owner-FCF margin (thin — gross margin is ~19%; the $867M operating cash flow is customer-funded milestone-billing timing, not owner cash); Gordon terminal at scenario WACC. Per-share on the ~591M Up-C economic unit base, not the Class A float. EV/sales vs automation peers.

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Symbotic 7 Powers · the moat, scored

Bear $5.79 Base $11.09 Bull $22.02

Arena. Warehouse-automation systems for large retailers and 3PLs; Symbotic competes with incumbent material-handling integrators and in-house programs from the largest buyers.

POWER AUDIT
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies	Largest dedicated automation deployments fund R&D and standardization, but a 19% gross margin shows limited cost advantage so far.
Network Economies	Some data and operational learning across sites, but no cross-customer network effect that compounds value as installs grow.
Counter-Positioning	Full-stack AI-robotics integrator differs from legacy hardware vendors, but incumbents can adopt similar AI without a business-model conflict.
Switching Costs	Installed multi-year systems are deeply embedded and costly to rip out, but that locks the customer, not new wins.
Branding	Credibility from the Walmart reference, but enterprise buyers procure on proof and economics, not brand.
Cornered Resource · thesis leans here	The Walmart relationship and contracted backlog are a privileged asset, but the same dependence is the concentration risk.
Process Power	Integration and software know-how exist, but a thin gross margin and the restatement history argue the process advantage is not yet durable.

PEER SET

Amazon Robotics · deep parent balance sheet
In-house automation at the largest buyer; not for sale but sets the build-vs-buy bar.

Dematic (KION) 8% gr · 6% mgn · ~6-8% division margin
Established material-handling integrator, low-margin hardware-led model.

Honeywell Intelligrated 5% gr · 7% mgn · industrial-conglomerate margins
Division of a diversified industrial; scaled integrator with broad install base.

AutoStore 14% gr · 40% mgn · ~40% EBITDA margin
Higher-margin modular ASRS vendor, mid-teens growth, software-like economics.

THREAT VECTORS · FALSIFIERS

Cornered Resource · Walmart
falsifier: Walmart in-sources automation or renegotiates terms, collapsing the >84% revenue concentration.

Process Power · execution / controls
falsifier: Another restatement, deployment delay, or material-weakness recurrence signals integration is not yet a durable advantage.

Scale Economies · margin structure
falsifier: Gross margin stays near 19% through scale, proving the model never reaches software-like, platform economics.

COMPETITIVE READ

A cornered-resource relationship with Walmart plus the largest contracted backlog is real Power, but it cuts both ways: the same dependence is an extreme concentration risk, and a 19% gross margin shows scale has not yet produced a durable cost or process advantage. Durability is medium at best. The falsifier the bull must clear is margin: gross margin expanding well beyond the high teens with ex-SBC owner FCF turning durably positive, ideally alongside a second large anchor customer.

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Symbotic show your work

Bear $5.79 Base $11.09 Bull $22.02 · Weighted $13.32 (-68.1%)

ULTRA BEAR $2.89

ASSUMPTIONS

5y revenue CAGR (%)	+5.4
Year-5 op margin (%)	1.0
WACC (%)	11.5
Terminal growth (%)	3.0
Terminal FCF ($B)	$0.09B
Starting revenue ($B)	2.25
Scenario probability (%)	13

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	2.43	-6%	-0.10	-0.09
FY27	2.57	-4%	-0.05	-0.04
FY28	2.70	-2%	+0.00	+0.00
FY29	2.81	+0%	+0.06	+0.04
FY30	2.92	+1%	+0.09	+0.05

Σ PV explicit FCF	-0.04
+ PV terminal (g 3.0%)	0.62

EQUITY BUILD · $B & PER SHARE

Operating EV	$0.58B
+ Cash & investments	$1.20B
= Equity value	$1.78B
FY30 shares (M)	615
= Expected per share	**$2.89**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$4.98	$8.58	$14.79	$25.49
0.12×	0.21×	0.35×	0.61×

BEAR $5.79

ASSUMPTIONS

5y revenue CAGR (%)	+10.2
Year-5 op margin (%)	4.0
WACC (%)	10.5
Terminal growth (%)	3.5
Terminal FCF ($B)	$0.22B
Starting revenue ($B)	2.25
Scenario probability (%)	27

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	2.56	-3%	-0.03	-0.02
FY27	2.87	+0%	+0.06	+0.05
FY28	3.16	+2%	+0.13	+0.09
FY29	3.41	+3%	+0.17	+0.11
FY30	3.65	+4%	+0.22	+0.13

Σ PV explicit FCF	+0.36
+ PV terminal (g 3.5%)	1.97

EQUITY BUILD · $B & PER SHARE

Operating EV	$2.33B
+ Cash & investments	$1.20B
= Equity value	$3.53B
FY30 shares (M)	610
= Expected per share	**$5.79**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$9.54	$15.71	$25.89	$42.65
0.23×	0.38×	0.62×	1.02×

BASE $11.09

ASSUMPTIONS

5y revenue CAGR (%)	+14.5
Year-5 op margin (%)	8.0
WACC (%)	10.0
Terminal growth (%)	4.0
Terminal FCF ($B)	$0.44B
Starting revenue ($B)	2.25
Scenario probability (%)	33

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	2.70	-2%	+0.00	+0.00
FY27	3.15	+1%	+0.10	+0.08
FY28	3.60	+4%	+0.22	+0.16
FY29	4.03	+6%	+0.32	+0.22
FY30	4.43	+8%	+0.44	+0.28

Σ PV explicit FCF	+0.74
+ PV terminal (g 4.0%)	4.77

EQUITY BUILD · $B & PER SHARE

Operating EV	$5.51B
+ Cash & investments	$1.20B
= Equity value	$6.71B
FY30 shares (M)	605
= Expected per share	**$11.09**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$17.86	$28.76	$46.33	$74.61
0.43×	0.69×	1.11×	1.79×

BULL $22.02

ASSUMPTIONS

5y revenue CAGR (%)	+18.7
Year-5 op margin (%)	13.0
WACC (%)	9.5
Terminal growth (%)	4.5
Terminal FCF ($B)	$0.80B
Starting revenue ($B)	2.25
Scenario probability (%)	18

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	2.83	+0%	+0.06	+0.05
FY27	3.45	+4%	+0.21	+0.17
FY28	4.08	+8%	+0.41	+0.31
FY29	4.69	+11%	+0.61	+0.42
FY30	5.30	+13%	+0.80	+0.51

Σ PV explicit FCF	+1.46
+ PV terminal (g 4.5%)	10.55

EQUITY BUILD · $B & PER SHARE

Operating EV	$12.01B
+ Cash & investments	$1.20B
= Equity value	$13.21B
FY30 shares (M)	600
= Expected per share	**$22.02**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$34.66	$54.57	$85.91	$135.24
0.83×	1.31×	2.06×	3.24×

ULTRA BULL $41.78

ASSUMPTIONS

5y revenue CAGR (%)	+22.6
Year-5 op margin (%)	18.0
WACC (%)	9.0
Terminal growth (%)	5.0
Terminal FCF ($B)	$1.25B
Starting revenue ($B)	2.25
Scenario probability (%)	9

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	2.97	+2%	+0.12	+0.11
FY27	3.77	+7%	+0.34	+0.28
FY28	4.60	+12%	+0.64	+0.50
FY29	5.42	+16%	+0.98	+0.69
FY30	6.24	+18%	+1.25	+0.81

Σ PV explicit FCF	+2.39
+ PV terminal (g 5.0%)	21.27

EQUITY BUILD · $B & PER SHARE

Operating EV	$23.66B
+ Cash & investments	$1.20B
= Equity value	$24.86B
FY30 shares (M)	595
= Expected per share	**$41.78**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$64.28	$98.91	$152.18	$234.15
1.54×	2.37×	3.65×	5.61×

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Symbotic People · Opportunity · Context · Deal

Bear $5.79 Base $11.09 Bull $22.02

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Rick Cohen · `founder-led` 18 yrs in seat

7.7%
insider ownership

HIGH
key-person risk

Capital allocation (realized)
Founder Rick Cohen is Chairman & CEO (founded 2007; concurrently Executive Chairman of family-owned C&S Wholesale Grocers — split attention). The balance sheet is strong — ~$1.2B cash at FY2025 (~$2.0B after a Dec-2025 raise), no debt — but the business sits near adjusted-EBITDA breakeven (~$147M on $2.25B revenue) and GAAP-unprofitable, with revenue ~85% concentrated in Walmart and a ~$22.5B backlog. No dividend or buyback. A 2024 restatement (premature revenue recognition) produced a material weakness in internal controls that remained unremediated through Q3 FY2025.

Incentive alignment
Cohen takes $0 compensation — no salary, bonus or equity — a genuine anti-extraction signal; his alignment is entirely his founder equity. Against that sits a dense related-party web: C&S Wholesale Grocers (Cohen-controlled — aircraft agreements, a customer, and GreenBox's first customer), Walmart (largest customer and a holder), and the GreenBox JV (SoftBank 65% / Symbotic 35%, a ~$7.5B+ purchase commitment). Insider trading is selling, led by SoftBank steadily exiting; no insider buying.

GOVERNANCE FLAGS

- Up-C super-voting: Class V-3 = 3 votes per share; the Cohen-led insider classes control roughly 86-91% of the vote on ~20% economics, while public Class A holds under 9% of the vote
- combined Chair & CEO (Cohen) with no lead independent director designated, and a controlled-company-eligible structure (Cohen group > 50% of the vote)
- a 2024 financial restatement with a material weakness in internal controls still unremediated through Q3 FY2025 — an integrity flag the other entrenched names lack
- dense related-party web: C&S Wholesale Grocers (Cohen-controlled), Walmart, and the GreenBox JV (SoftBank)
- extreme customer concentration — Walmart ~85% of revenue and most of the backlog
- mitigants: a Class V-3 sunset to single-vote ~2029, an 8-of-9 independent board with fully-independent committees, declassified annual elections, and $0 CEO pay

THE FOUR LEGS

People ●○○○○
observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value + position sizing.
`-68.1% vs spot $41.73`

PEOPLE READ

The most-entrenched tier, and the weakest of it: founder-CEO Cohen controls ~86-91% of the vote on ~20% economics via a 3-vote Up-C class, combines Chair and CEO, splits attention with C&S, and sits in a dense C&S/Walmart/GreenBox related-party web — on top of a 2024 restatement whose material weakness was still unremediated into FY2025, an integrity flag the cleaner controlled companies do not carry. The mitigants are real (a 2029 sunset, a majority-independent board with independent committees, declassified elections, and a founder who takes $0 pay), but near-total vote control combined with an unremediated material weakness makes SYM the one name in the book where governance integrity, not merely entrenchment, is in question — which is why it sits at 1, the floor. Key-person risk is high.

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Symbotic supporting analysis · disclaimers · glossary

Bear $5.79 Base $11.09 Bull $22.02

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **Backlog gives rare visibility**
A ~$22.5B backlog (Walmart + GreenBox) is multiples of revenue, an unusually contracted forward book that de-risks the growth path.

2 **Labor automation is structural**
Warehouse-labor scarcity and rising fulfillment volume make AI automation a durable, multi-decade demand tailwind, not a cycle.

3 **GAAP just turned positive**
Q2 FY26 net income of +$9M marks the inflection from years of losses; operating leverage may now compound.

4 **GreenBox adds recurring mix**
The SoftBank WaaS JV (~$11.6B backlog) shifts the model toward recurring, higher-margin revenue versus one-time system sales.

5 **Cash flow is real cash**
Operating cash flow was +$867M; even if milestone-timed, it funds the ramp without dilution or debt.

FALSIFICATION TRIGGERS

Bull validation
Gross margin climbing above the low-20s; GreenBox recurring revenue scaling; a second large anchor customer beyond Walmart.

Bear validation
Walmart order cadence slowing or terms renegotiated; gross margin stuck near 19%; another restatement or control deficiency.

Reframe needed
Sustained software-like gross margin (30%+) with ex-SBC owner FCF turning durably positive would move this from systems integrator to platform.

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Forward-looking statements.

Scenarios, valuations, projections, and any forward-looking statements involve substantial assumptions and uncertainty. Actual results may differ materially from those projected. Past performance is not indicative of future results. The model is a model; reality is not.

Author may hold positions.

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Do your own research.

Do not make investment decisions on the basis of this document. Consult a licensed financial professional and read the company's official SEC filings (10-K, 10-Q, 8-K, proxy) before forming any investment view. If you wouldn't trust your retirement to a chatbot, don't trust this either.

GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Systems-integrator model / gross margin — Designs, builds, and installs automation systems; margins are construction-like (~19% here), not software-like, because hardware and integration dominate cost.

Backlog — Contracted but not-yet-recognized revenue (~$22.5B), giving forward visibility; converts to revenue as systems are deployed over multiple years.

Up-C dual-class economic units — An Up-C structure: economic ownership spans Class A plus Class V units (~591M total), so per-share value uses ~591M, not the smaller Class A float.

GreenBox (warehouse-as-a-service) — SoftBank JV offering automated warehousing as an outsourced, recurring service (~$11.6B of backlog) rather than a one-time system sale.

Adj-EBITDA vs owner FCF; customer-funded OCF — Adj-EBITDA ($147M) excludes SBC ($184M); the $867M operating cash flow is customer milestone prepayments (working capital), not sustainable owner cash.

SBC (stock-based compensation) — Non-cash pay in stock ($184M, exceeding adj-EBITDA); it dilutes owners and is the main driver of the GAAP operating loss.